

MOVING AVERAGE & PIVOT POINTS

Moving averages

What is a Moving Average?

- A **moving average (MA)** is a technical indicator that smoothens price data by creating a constantly updated average price.



How to Interpret a Moving Average

1. Trend Direction

- Price above MA → Uptrend
- Price below MA → Downtrend
- MA acts like a dynamic trendline

Example:

- If the price is above the 50 MA and the MA is sloping upward, it's a bullish trend.

2. Support and Resistance

- In an uptrend, MA can act as support (price bounces from it)
- In a downtrend, MA can act as resistance (price rejects from it)

Example:

- In an uptrend, price often pulls back to the 20 EMA or 50 EMA before continuing upward.

3. Slope of the Moving Average

- Rising MA = Strengthening trend
- Flat MA = Sideways/Range-bound market
- Falling MA = Weakness or start of a downtrend
- **Tip:** Avoid trading when the MA is flat and price is choppy around it.

4. Crossover Signals

Bullish Crossover:

- Shorter MA crosses above longer MA → Possible buy signal

Bearish Crossover:

- Shorter MA crosses below longer MA → Possible sell signal
- Golden Cross: 50 MA crossing above 200 MA
- Death Cross: 50 MA crossing below 200 MA

Types of Moving Averages

1. Simple Moving Average (SMA)

- Calculates the average of closing prices over a period
- Equal weight to all data points
- Slower respond to price changes
- Better for long-term trend analysis

Example:

- 50 SMA, 200 SMA used in positional trading

Types of Moving Averages

2. Exponential Moving Average (EMA)

- Gives more weight to recent prices
- Reacts faster to market movements
- Useful for short-term and intraday strategies

Example:

- 9 EMA, 21 EMA used in scalping or swing trades

Moving Average Crossover Strategy

The Moving Average Crossover strategy gives buy/sell signals based on the crossover of two moving averages — a shorter period MA and a longer period MA.

1. Long-Term Crossover Strategy

50-Day & 200-Day SMA Crossover – Long-Term Investment

What These Averages Represent

- 50-Day SMA → Medium-term trend
- 200-Day SMA → Long-term trend (market health)

This crossover is widely used for long-term investing in stocks and indices.



Bullish Crossover (Golden Cross)

- When 50-Day SMA crosses above 200-Day SMA
- Indicates long-term bullish trend
- Shows that buyers are gaining long-term control

Investment Approach:

- **Entry:** After crossover and price sustains above both SMAs
- **Stop Loss:** Below 200-Day SMA or recent major swing low
- **Holding / Target:**
- Hold the investment until the next opposite crossover Or stay invest as long as price remains above 200-Day SMA

Bearish Crossover (Death Cross)

- When 50-Day SMA crosses below 200-Day SMA
- Indicates long-term bearish trend
- Suggests weakening market strength

Investment Action:

- **Exit or reduce exposure** after confirmation
- Avoid fresh long-term buying until trend improves
Re-enter only after bullish crossover appears again

2. Short-term Crossover Strategy

5 SMA & 20 SMA Crossover – Short-Term Trading

What These Averages Represent

- **5 SMA** → Short-term price movement
- **20 SMA** → Near-term trend direction
- Used mainly for **intraday and short swing trades**.

Bullish Crossover (Buy Setup)

- 5 SMA crosses above 20 SMA
- Shows short-term bullish momentum
- Best when price is above both SMAs

How to Trade:

- **Entry:** After crossover with candle close
- **Stop Loss:** Below 20 SMA or recent swing low
- **Target:**
- Hold the trade until the next opposite crossover, or
- Exit partially at previous high and trail remaining position



Bearish Crossover (Sell Setup)

- 5 SMA crosses below 20 SMA
- Shows short-term bearish momentum
- Best when price is below both SMAs

How to Trade:

- **Entry:** After crossover with candle close
- **Stop Loss:** Above 20 SMA or recent swing high
- **Target:**
- Hold the trade until the next opposite crossover, or
- Exit partially at previous low and trail remaining position



Note on Short-Term Moving Average Crossovers

- 5 SMA & 20 SMA is one of the commonly used crossover setups in the Indian market for short-term trades.
- Traders also use other short-term combinations such as 9 & 21, 10 & 20, etc.
- The concept is the same for all combinations:
- When a faster moving average crosses a slower moving average, it indicates a change in short-term trend.
- The numbers can be adjusted based on trading style, timeframe, and backtesting results.

Tips for All Timeframes

- Avoid trading during flat MA zones (sideways markets)
- Use other confirmations like RSI, Volume, or Pivot Points
- Backtest your setup before using real money
- Place SL below recent swing low/high

Pivot Points

- Pivot Points are **key price levels** used by traders to identify potential **support and resistance** zones in the market.
- They are calculated using the **previous day's** price data (High, Low, and Close) and help forecast **price movement** for the next day.
- They are most effective in **intraday** and **short-term trading**.



How to Calculate Standard Pivot Points?

Use the previous day's:

- High (H)
- Low (L)
- Close (C)

Pivot Point (P)

- **$P = (\text{High} + \text{Low} + \text{Close}) \div 3$**

How to Calculate Standard Pivot Points?

Support and Resistance Levels

- Resistance 1 ($R1$) = $(2 \times P) - \text{Low}$
- Support 1 ($S1$) = $(2 \times P) - \text{High}$

- Resistance 2 ($R2$) = $P + (\text{High} - \text{Low})$
- Support 2 ($S2$) = $P - (\text{High} - \text{Low})$

- Resistance 3 ($R3$) = $\text{High} + 2(P - \text{Low})$
- Support 3 ($S3$) = $\text{Low} - 2(\text{High} - P)$

How to Interpret Pivot Points

- **All Pivot levels act as Support and Resistance levels.**
- Price reacts at these levels because many traders watch and trade using them.

Pivot Point (P) – The Main Level

- Pivot Point is the central reference level for the day.
- It shows the overall market bias.
- When price is above the Pivot, the market sentiment is bullish.
- When price is below the Pivot, the market sentiment is bearish.
- Pivot often acts as support when price is above it and resistance when price is below it.
- If the Pivot Point is moving higher day by day, it indicates a bullish market structure.
- If the Pivot Point is moving lower day by day, it indicates a bearish market structure.

Resistance Levels (R1, R2, R3,...)

- These levels act as resistance when price moves up.
- Price may slow down, reverse, or consolidate at these levels.
- If price breaks and sustains above R1, the next target is R2.
- Higher resistance levels (R2, R3) indicate strong momentum when broken.

Support Levels (S1, S2, S3,...)

- These levels act as support when price moves down.
- Price may bounce or reverse from these levels.
- If price breaks below S1, the next support is S2.
- Lower support levels (S2, S3) indicate strong bearish momentum when broken.

Role Change Concept

- When a level is **broken**, it often **changes its role**:

Broken resistance can act as **support**

Broken support can act as **resistance**

Important Trading Insight

Pivot levels are **not exact lines**, but **zones**.

Price action and confirmation (candlestick pattern, volume, RSI) are important before taking trades.

THANK YOU